

Advisor High-Level Abilities

This document maps the AI advisor's core capabilities to the principles defined in what-makes-a-great-advisor.md. Every ability exists in service of a principle — if it doesn't serve one, it doesn't belong in the product.

1. Market Data Retrieval

Serves: Deep Contextual Understanding, Pattern Recognition

The advisor must be able to fetch and reason over:

- **Real-time prices** — current bid/ask, last traded price, volume, intraday movement
- **Historical price series** — daily/weekly/monthly OHLCV data going back years, enabling trend and volatility analysis
- **Benchmark comparisons** — performance of the client's assets vs. relevant indices (S&P 500, sector ETFs, etc.)
- **Corporate actions** — splits, dividends, spin-offs that affect historical price interpretation

Without this, every other analysis is untethered from reality.

2. Fundamental Financial Analysis

Serves: Intellectual Honesty About Uncertainty, Long-Term Orientation, Pattern Recognition

The advisor must be able to retrieve and interpret:

- **Income statements** — revenue, gross margin, operating income, net income over time
- **Balance sheets** — assets, liabilities, debt levels, cash position
- **Cash flow statements** — free cash flow generation, capex trends, working capital dynamics
- **Key valuation ratios** — P/E, P/S, EV/EBITDA, PEG, price-to-book, and how they compare to

historical averages and sector peers

- **Earnings history and surprises** — whether a company consistently meets, beats, or misses expectations

This grounds recommendations in business reality, not just price movement.

3. News Monitoring and Sentiment Analysis

Serves: Proactive Orientation, Pattern Recognition, Accountability

The advisor must actively scan for:

- **Asset-specific news** — earnings calls, management changes, product launches, regulatory actions, lawsuits
 - **Sector and macro news** — interest rate decisions, inflation data, geopolitical events that affect entire portfolios
 - **Sentiment signals** — whether the overall tone around a stock is shifting positive or negative, and at what speed
 - **Source credibility weighting** — not all news is equal; the system should distinguish between primary sources (SEC filings, official press releases) and secondary commentary
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4. News-to-Price Correlation Engine

Serves: Pattern Recognition, Proactive Orientation, Clear Communication

Simply surfacing news isn't enough. The advisor must be able to:

- **Correlate news events with price reactions** — "When this company reported earnings misses in the past, the stock dropped an average of X% over the following 5 trading days"
- **Identify anomalous divergences** — when a stock doesn't move as expected after a news event (either surprising resilience or surprising weakness), that is itself a signal worth flagging
- **Quantify sensitivity** — how much does this asset historically move in response to macro

events like Fed rate decisions, CPI prints, or oil price spikes?

This is what transforms information into insight.

5. Portfolio-Level Intelligence

Serves: Deep Contextual Understanding, Long-Term Orientation, Intellectual Honesty

The advisor must think at the portfolio level, not just asset by asset:

- **Correlation analysis** — identify when the client's holdings are more correlated than they appear, creating hidden concentration risk
 - **Sector and geographic exposure mapping** — visualize what the portfolio is actually betting on
 - **Performance attribution** — which holdings are driving returns, and which are dragging
 - **Rebalancing signals** — when the portfolio has drifted significantly from the client's intended allocation
 - **Risk-adjusted return tracking** — not just "how much did I make" but "how much risk did I take to make it" (Sharpe ratio, drawdown analysis)
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6. Client Context and Goal Tracking

Serves: Deep Contextual Understanding, Long-Term Orientation, Emotional Intelligence

The advisor must maintain a persistent model of who the client is:

- **Investment goals** — retirement, capital preservation, income generation, aggressive growth
- **Time horizon** — years until the client needs the capital
- **Risk tolerance** — both stated (what they say) and revealed (how they react to drawdowns)
- **Liquidity needs** — upcoming large expenses the advisor should account for
- **Tax sensitivity** — whether short-term vs. long-term capital gains distinctions matter to this client

Every recommendation should be filtered through this lens. A suggestion that's right for one client may be wrong for another.

7. Proactive Alerting System

Serves: Proactive Orientation, Accountability, Radical Honesty

The advisor should not wait to be asked. It must proactively surface:

- **Earnings and dividend calendar** – upcoming events that could move the client's holdings
 - **Portfolio drift alerts** – when an allocation has moved meaningfully from targets
 - **Thesis invalidation signals** – when the original reason for holding an asset no longer holds (e.g., "You bought this for its dividend, but the payout was just cut")
 - **Macro risk alerts** – when broader conditions shift in ways that disproportionately affect the client's portfolio
 - **Unusual activity flags** – abnormal volume, options activity, or insider transactions in held assets
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8. Scenario and Stress Testing

Serves: Radical Honesty, Long-Term Orientation, Intellectual Honesty About Uncertainty

The advisor must be able to model hypothetical situations:

- **"What if" analysis** – "What happens to my portfolio if interest rates rise 1%? If the dollar strengthens 10%? If oil drops to \$50?"
- **Historical stress tests** – "How would this portfolio have performed during the 2008 financial crisis? The 2020 COVID crash? The 2022 rate cycle?"
- **Downside scenario modeling** – explicitly show clients the realistic bad outcomes, not just the upside

This is where the principle of honesty becomes most actionable.

9. Explainable Reasoning and Audit Trail

Serves: Clear Communication, Intellectual Honesty, Accountability

The advisor must show its work:

- **Structured recommendations** — every suggestion comes with a thesis, the key assumptions, and the conditions under which the recommendation would change
 - **Confidence signaling** — explicitly distinguish between high-confidence and speculative analysis
 - **Data sourcing** — the client should always be able to trace an insight back to its underlying data
 - **Recommendation history** — the advisor maintains a log of past recommendations and tracks their outcomes, feeding that back into calibration
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10. Behavioral Coaching Layer

Serves: Emotional Intelligence, Long-Term Orientation, Radical Honesty

The most overlooked dimension of great advising is behavioral. The advisor should:

- **Recognize panic signals** — when a client is about to make a fear-driven decision during a drawdown
 - **Surface base rates** — "Investors who sold during the last five corrections of this magnitude underperformed those who held by X%"
 - **Gently challenge cognitive biases** — recency bias, loss aversion, overconfidence — and do so in a way that informs rather than patronizes
 - **Encourage reflection before action** — for large or emotionally-charged decisions, introduce a structured pause
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11. Personal Interest Tracking and Lifestyle Context

Serves: Emotional Intelligence, Deep Contextual Understanding, Proactive Orientation

Design note — Brazilian market context: In Brazil, trust between a client and their advisor is built through genuine personal connection, not just competence. Conversations about soccer, family, food, and culture are not distractions from the advisory relationship — they *are* the advisory relationship. This ability is what turns a tool into a *companion*.

The advisor must maintain a rich, evolving personal profile of the client beyond their finances:

- **Interests and passions** — favorite soccer team, sport, artists, musicians, actors, films, TV shows, hobbies
- **Lifestyle markers** — food preferences, travel patterns, recurring celebrations (e.g., a client who always travels to Europe in July)
- **Social context** — family milestones, important dates, life events the client has shared in conversation
- **Cultural affinities** — regional identity, local events, community involvement

How this feeds into the advisor experience

Conversation openers and warmth — when starting a session, the advisor can naturally reference recent events in the client's world: "Flamengo had a tough week — but let's see if your portfolio did better." This isn't small talk; it signals that the advisor actually knows the client.

Cross-domain news bridging — the news monitoring layer (Ability #3) is extended to cover the client's personal interests. If a client loves Formula 1, the advisor monitors F1 news and can connect it to relevant financial angles: "Lewis Hamilton just signed with Ferrari — that sent Ferrari's stock up 4% this week. You don't hold it, but worth knowing."

Interest-to-investment connections — the advisor can proactively surface when a client's personal passions intersect with their portfolio or potential opportunities: a client who loves gaming and holds Nintendo stock should know when a major title announcement is coming. A client who supports a soccer club might care about clubs going public or sponsorship deals involving brands they hold.

Contextual trust anchors — over time, the advisor learns what the client genuinely cares about and weaves that into its communication style. A client who is deeply passionate about the environment will respond differently to ESG-related news than one who isn't. A client who follows Brazilian politics closely needs macro analysis that speaks to that lens.

Important design guardrails

- Personal interest data must be **explicitly shared by the client** — the advisor never infers or assumes sensitive preferences
 - This context should enhance communication, not replace substance — the financial analysis must always remain rigorous
 - The personal layer must feel **natural and warm**, not scripted or transactional — the advisor should reference personal context only when it genuinely adds value to the conversation
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Capability Priority Matrix

Ability	Complexity	Advisor Principle	Priority
Market Data Retrieval	Low	Contextual Understanding	P0
Fundamental Financial Analysis	Medium	Long-Term Orientation	P0
News Monitoring & Sentiment	Medium	Proactive Orientation	P0
News-to-Price Correlation	High	Pattern Recognition	P1
Portfolio-Level Intelligence	High	Contextual Understanding	P1
Client Context & Goal Tracking	Medium	Contextual Understanding	P0
Proactive Alerting System	Medium	Proactive Orientation	P1
Scenario & Stress Testing	High	Radical Honesty	P2
Explainable Reasoning & Audit	Medium	Accountability	P0
Behavioral Coaching Layer	High	Emotional Intelligence	P2
Personal Interest & Lifestyle Tracking	Medium	Emotional Intelligence	P1

P0 = foundational, must ship first. P1 = core differentiator. P2 = advanced, high-value.

Next step: for each P0 capability, define the data sources, APIs, and specific input/output contracts that will drive the technical specification.